

10.0 CIRCULAR OT-34



Association of American Railroads
Safety and Operations • Business Services
 425 Third Street, SW • Washington, D.C. 20024

CIRCULAR No. OT-34

In Effect as of June 1, 2015

PROCEDURES FOR REPORTING CAR GRADE AND CUSTOMER CLASSIFICATION INSPECTIONS AND EQUIPMENT QUALITY INFORMATION

Application of Car Grades for Box, Gondola, Covered Hopper Cars and Customer Classification Inspections for All Car Types

The reporting of Car Grade inspections (Appendix A) and Customer Classification Inspections (Appendix B) is an industry process maintained at Railinc. The classification of equipment is time sensitive and it is imperative that each reclassification performed be reported within twenty-four hours. Changes in car grade can be reported using the TRAIN II, Event Type 46 and/or Umler messages. (See the TRAIN II User's Manual or Umler Data Specification Manual). Changes in cars' customer classification inspections are reported using TRAIN II, Event Type 45 only. (See the TRAIN II User's Manual.)

Non TRAIN II reporting companies (railroads and/or car owner/agent/company) classifying freight cars must use the Umler web application to report car classifications as defined in AAR Interchange Rule 1. Umler access for reporting car classifications can be obtained by contacting Railinc's Customer Success Center at CSC@Railinc.com or (877) 724-5462.

The Car Grade reporting process has three basic functions: 1. AAR Interchange Rule 1 – Car Classification based on physical inspections (See Appendix A.). 2. Car Service Rule 14 – Commodities that May Constrain Future loading utilizes Standard Transportation Commodity Codes (STCC) classification (CSR-14, Appendix A) developed from TRAIN II waybill information and reported to the industry via TRAIN/Umler systems. 3. Industry Equipment Quality reporting (EQR) customer classification inspections provided to serving railroad indicating cars' defect information is reported via TRAIN II, Event Type 45. The objectives of these processes is to maximize empty car distribution for rail customers with defect free equipment and provide railroads with an equipment quality reporting process to reduce maintenance costs, maintain equipment health and reduce operating costs associated with placing cars for loading that would potentially be rejected by customers based on the cars' classifications.

A. Procedures for Application of Car Grades Developed from TRAIN Reporting

1. TRAIN II and Umler reporting requirements for car grades are specified in the Office Manual of the AAR Interchange Rules, Rule 93. The car grade classifications for applicable box and gondola cars are specified in Rule 1, Field Manual of the AAR Interchange Rules. (See attached Appendix A.) Car grades resulting from an inspection can only be changed by subsequent inspection. For example, a Class A box car is inspected and the roof is not watertight. The inspection code L would be reported to accurately describe the car. Box and gondola cars graded A, B, or C that contain refuse are, after inspection, graded X, Y or Z respectively. These cars can move to home rails exempt from the provisions of Car Service Rule 12.
2. Box cars having waybills reported with STCC (4029114) Municipal Garbage Waste will be assigned the car grade W and Transportation Code G. These codes (W and G) are permanently assigned and will remain with the

car until retired or dismantled. Such cars are assignable to Pool Type G (contaminated) pools. When the car grade W is assigned to a car as a result of the reporting of a waybill with an incorrect STCC. The erring railroad must provide documentation to correct the error. Such documentation is to be reported to Railinc's Customer Success Center at CSC@Railinc.com in order to have a Railinc administrator remove the Car Grade W and Transportation Code G. This correction will be distributed to the industry.

3. Classification of Covered Hopper Cars Loaded with Ruminant Proteins:

Covered hopper car (Mechanical Designation – LO) that is reported to the TRAIN II system with a waybill having a Standard Transportation Commodity Code (STCC) reporting that the car's lading was a ruminant protein will receive a Car Grade of N and a Transportation Code of G (see AAR Car Service Rule 14, Appendix A for a list of STCC's for ruminant proteins.) These codes (N and G) are permanently assigned and will remain with the car until retired or dismantled. Such cars are assignable to Pool Type G (contaminated) pools. When the car grade N is assigned to a car as a result of the reporting of a waybill with an incorrect STCC. The erring railroad must provide documentation to correct the error. Such documentation is to be reported to Railinc's Customer Success Center in order to have a Railinc administrator remove the car grade N and Transportation Code G. These corrections will be distributed to the industry.

Car owners may request an automatic notification when a car grade N is reported to their cars via the Umler Tickler No. 350. The tickler notice is arranged by the owner's Umler Account Administrator indicating the email address where the car grade N notification is to be sent.

B. Industry Equipment Quality Reporting (EQR) For BOX, GON, HOPP, FLAT, IFLT, VFLT, TANK Equipment Groups

1. EQR is an Industry process managed by Railinc that receives shipper reject car information reported to railroads and transmitted to Railinc to be maintained in a central repository for access by railroads and car owners to facilitate the management of repair of empty cars. The customer's car classification inspection information reported to EQR is codified and is viewable in Appendix B. Customer car defect information must be reported to the EQR within twenty-four (24) hours.

All railroads must report customer car classification inspection information to EQR. All car owners can access equipment quality information through the EQR Application. Access to EQR can be arranged by contacting the Railinc Customer Success Center at CSC@Railinc.com or (877) 724-5462.

This circular is issued on behalf of the AAR Equipment Assets Committee.

By direction of,
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Asst. Vice President-Business Services

Appendix A —Circular OT-34

Inspection: All empty box cars (XL, XLI, XM, XP, XPI, RB, RC, RBL, RP, RPL) and gondola cars (GB, GBS) must be inspected and classified when on shop, repair, upgrade, or clean out tracks as outlined below:

Car Type—Box

CLASS	A	B	L	C	K	U
Roof	Watertight	Watertight	Meets A or B Standard Except Roof Not Watertight	Not Watertight		Car is Unfit for Loading Secure Disposition per Section 3
Floor	Smooth, no Splinters No Leaks, Odor, Oil Spots, Contamination	Won't Leak Lading No Protruding Patches, No Leaks, Odor, or Contamination	Meets A or B Standards	Will Hold Rough Freight	Future loading constrained due to violation of Car Service Rule 14. See also AAR Interchange Rule No. 97	
Lining	Intact Smooth No Splinters Watertight	Intact Watertight	Meets A or B Standard Except Lining Not Watertight	Poor		
Doors	Watertight Fixtures (Including Locks, Hasps) in Good Condition	Watertight Fixtures (Including Locks, Hasps) in Good Condition	Meets A or B Standard Except Doors Not Watertight	Fixtures (Including Locks, Hasps) in Good Condition		

Car Type—Gondola

A	B	C	D	K	U
No holes in floors	Holes in floor 1"–6" over less than 10% of area not located over trucks	Holes in floor 6"–12" over less than 10% of area not located over trucks	Holes over 12" over more than 10% of floor area, but less than 30%	Future loading constrained due to violation of Car Service Rule 14. See also AAR Interchange Rule No. 97	Car is unfit for loading Secure Disposition per Section 3
No holes in sides	Holes in sides 1"–6" over less than 10% of area	Holes in sides 1"–6" over less than 10% of area	Holes in sides larger than 6"		
Gates not missing	Gates not missing	Gates not missing	Gates may be missing		

Dirty Car—A Box or Gondola Car Containing Refuse Shall Be Classified in the Following Manner:

CLASS	X	Y	Z
Interior	Meets class A criteria above but contains refuse	Meets class B criteria above but contains refuse	Meets class C criteria above but contains refuse

Appendix B – Circular OT-34

Customer Classification Inspection Codes

- A - Dirty
- B - Dirty – Infestation
- C - Dirty – Contamination
- D - Grade Not Satisfactory For Customer's Requirement
- E - Grade Does Not Match TRAIN II/Umler
- F - Unit Does Not Match Umler Specifications
- G - Railroad Error – Car Not Ordered
- H - Ordered Not Used
- I - Bad Doors
- J - Bad Floor
- K - Bad Roof
- L - Bad Lining
- M - Bad Hatch Covers
- N - Bad Outlet Gates
- O - Bad Interior Bulkheads
- P - Bad Order Refrigerator System
- Q - Other Mechanical Defects
- R - Rust Contamination
- U – Unknown or Other Than Specific Code Description

Note: The codes listed above are reported via current Type 45 Message.